



cash grants or reductions in local taxes, are offered to new businesses. Get a feel for an area by visiting potential locations. If possible, chat with local business owners and ask them about the area. If enterprises like yours have failed there in the past, try to discover why, as the reasons may be linked to the location.

Check whether there are any restrictive local regulations that might affect your business or any planned developments that could have a detrimental impact on the area. Also consider your space and service needs and any permissions or licenses you may require.

Does it suit your business?

Make sure the area you choose is right for your style of business. For example, siting an upmarket beauty salon in a rundown area is unlikely to work. Try to view the location from the perspective of customers in your target market.

Assess the level of competition you will face in a particular area and whether this will impede the selling of your goods or services. Having competitors nearby is not always a bad thing. If you run an antiques shop, for example, your potential customers are likely to be browsers, so a similar shop nearby may actually increase your traffic.



NEED TO KNOW

- **Lease term** is the minimum period covered by the lease.
- **Lessee** is the person taking out a lease on a premises from the lessor, the property owner.
- **Renewal options** define when and under what terms the lessee can extend the lease.
- **Security deposit** is the amount paid by the lessee at the beginning of the agreement. This sum is returned by the lessor at the end of the lease.



Can I rely on people booking my service in advance?

If you offer a service such as hairdressing or beauty treatments, you can choose whether people need to book ahead or can just show up. If you think you can rely entirely on appointments, then a tucked-away location for your salon, such as a quiet side street, should not be a problem.



Is my business seasonal?

Most rental or lease agreements can last at least one year, or longer. If your business is seasonal or dependent on changing tastes and trends, you may want to explore a short-term lease or consider alternatives, such as setting up a "pop-up" facility.



What can I afford?

This is a critical question because the cost of premises is fixed, whether you are trading well or not. Make sure you are aware of all the costs involved and figure out what you can afford over the term of your rental or lease, based on realistic trading estimates.



Do I need passing trade to make my business work?

Attractive premises on a popular street is important for a business that relies on drawing in passersby. However, this usually comes at a cost. If you are starting a bookkeeping or accounting business, for example, an accessible office in a professional-looking building may be enough.



What is available?

You will be lucky to find ideal premises in the perfect location at the right price, so you will probably have to compromise on at least some features. Make a list of "must-haves" and a list of "nice-to-haves" and be prepared to make sacrifices.



Are there any other options?

Instead of having premises on a main street, could you sell from a mobile van or bus? Perhaps you could rent space from another small business? Locating a small craft store within a café could be an advantage for both businesses.